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## When Genius Fails

|                                                        |                                          |
|--------------------------------------------------------|------------------------------------------|
| <b>Report Date:</b> December 16, 2015                  | <b>Estimated Value (€):</b> 6.91 / share |
| <b>Company:</b><br>Groupe Casino Guichard-Perrachon SA | <b>Stock Price (€):</b> 48.97            |
| <b>Ticker:</b><br>CO FP                                | <b>Market Cap (€):</b> 5.66 billion      |
| <b>Industry:</b> General Retail                        | <b>Float:</b> 56.5m                      |
|                                                        | <b>Avg Volume:</b> 724,000               |

Groupe Casino (CO FP) is one of the most overvalued and misunderstood companies we have ever come across.<sup>1</sup> The basic problem with Casino is that its financial statements are literally meaningless to understanding the company's (poor) health. They do not distinguish between what Casino owns and what it owes. (Spoiler: we estimate Casino's LTM leverage ratio at 8.9x.)

Casino's controlling shareholder Jean-Charles Naouri is a genius. He won first prizes in France's high school Latin and Greek exams, completed his baccalaureate degree at 15, and earned a PhD in math in only one year. Like the geniuses who founded the hedge fund Long-Term Capital Management, which spectacularly collapsed, Mr. Naouri has an affinity for leverage. One would expect Casino to be a relatively boring hypermarket retailer; however, together with its parent, Rallye SA (RAL FP), Casino increasingly resembles a highly levered hedge fund. One example is Casino's total return swaps on listed equities, which we estimate have a mark-to-market loss of approximately €500 million.

Casino and Rallye are now experiencing their version of a "six sigma event", with emerging markets (80% of consolidated EBITDA) unwinding, currencies selling-off, and a sharply deteriorating core business. Casino obfuscates these problems by (i) adding complexity to its already convoluted structure and financials, (ii) engaging in financial engineering to improve the optics of its financials, and (iii) by hollowing out the productive value of the businesses in order to keep Rallye from collapsing.

Our report peels away many layers of the onion to show that Casino is dangerously leveraged, and is being managed for the very short-term. We explain that Casino's shares are worth as little as €6.91, and correspondingly, the shares of Rallye are likely going to zero. If Casino trades at our estimated value of €6.91, the recovery on Rallye's bonds should be about €0.15.

### Key Findings

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<sup>1</sup> The full legal name of the listed company is Groupe Casino Guichard-Perrachon SA.

We are short shares of France-based retail conglomerate Casino (CO FP) because their value could be as little as €6.91 per share, which is 86.2% lower than its last close. We are short Casino's credit, which S&P rates BBB-, because we estimate Casino's LTM adjusted leverage is 8.9x, and the parent has €3.3 billion in maturities coming due through 2017.<sup>2</sup> We are short shares of Casino's parent and largest shareholder Rallye SA (RAL FP) because we value them at zero. We are short the credit of Rallye because we consider a default probable in the next two years.

Our base case value for Casino shares is €6.91. This is based on estimates of LTM numbers. Casino's financial statements greatly mislead investors about the value of Casino's equity. Casino management then obfuscates and refuses to release key clarifying information, thereby continuing the misperception of value that is clear to insiders. On the surface, Casino appears to be prudently managed with moderate leverage (net debt to EBITDA) of only 3.0x. Unfortunately, Casino shareholders have far less cash and cash flow to meet those obligations than it appears.

Casino has only fractional ownership in a number of businesses that it fully consolidates. That is, even though Casino only owns portions of these businesses – in one case only 14.2% – Casino reports their results as though they were its own. Casino then borrows against these numbers. The concept is similar to a trustee of someone else's trust taking the trust's account statements to the bank and getting a loan based on the assets. (The trustee would obviously be acting illegally; Casino's accounting is legal.) We estimate Casino's LTM leverage ratio is 8.9x.<sup>3</sup> Ideally, a company consolidating results of proportionally-owned companies has the debt spread out among the consolidated companies. That is not the case with Casino – there is a massive gap between what is owned, and what is owed. Casino owns only 49% of the estimated LTM EBITDA, but owes 93% of adjusted net debt.

Casino's leverage, compounded by the massive debt at its parent, RAL, is causing management to hollow out the productive value of Casino. Even though Casino realized €1.7 billion by cramming an abusive transaction down the throats of one of the companies it consolidates, Almacenes Exito SA, parent-level and consolidated cash have both dropped precipitously while debt has climbed. Casino's consolidated subsidiary GPA is one of the largest tax dodgers in Brazil, according to the government's official list. Casino guarantees this liability for up to €3 billion. (Our debt and leverage calculations do not include this contingent liability.)

A bulge bracket bank raised the possibility that Rallye becomes a zero – in a recent note, the bank estimated that if Casino shares hit €46, then Rallye has no equity value left. We see the Casino deleveraging “plan” that was announced December 15<sup>th</sup> as an empty, and desperate ploy to buy time for Rallye by trying to prop up Casino's price. (Casino had previously closed at €45.995.)

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<sup>2</sup> €1.9 billion of commercial paper, estimated €500 million of TRSes, €379 million of 2016 bonds, €538 million of 2017 bonds.

<sup>3</sup> We explain the basis for the adjustments and estimates in detail in the report.

The deleveraging “plan” is clearly shambolic. The press release read that the deleveraging would be accomplished through asset sales. But when Casino held the call to explain the announcement, the CFO repeatedly stated that sale proceeds might be used for dividends or capital expenditures. When analysts asked pointed questions and pressed on where Casino would get the money to deleverage, the CFO made vague statements about France free cash flow rising substantially from its present level, which seems to be about zero. We estimate that debt is € 10.9 billion, and the France subsidiaries just below the parent have net cash of € 1.7 billion. The notion that a company with this little free cash flow, and that is using asset sales for other purposes, and somehow burning substantial amounts of cash in ways that have not been explained, can pay off meaningful amounts of debt over the next year is astonishing.

#### I. The fundamental problem with Casino

The basic problem with Casino is that its financial statements are literally meaningless to understanding the company’s (poor) health. It has about half the EBITDA its financials show, but almost all of the debt.

For the LTM period, it appears as though Casino has EBITDA of €2.6 billion. However, its true economic ownership (“proportional”) EBITDA really is only €1.4 billion.<sup>4</sup> To eliminate the income inflation of financial engineering, EBITDA likely should be further adjusted downward by approximately €165 million to €1.2 billion.<sup>5</sup>

While Casino’s financials overstate EBITDA by an estimated 100%, the portrayal of the debt is much more accurate. Casino’s real net debt is approximately 93% of the amount shown on the consolidated financials. In other words, while Casino’s chairman wrote in the 2014 annual report Casino’s balance sheet was “strong” and its leverage ratio was a conservative 1.8x, a leverage calculation based on debt and EBITDA actually owned by Casino, along with estimated adjustments to offset financial engineering profits, results in a leverage ratio at that time of 6.1x. (Note the substantial deterioration in our estimated leverage ratio since then.)

Casino’s financials are so misleading because it consolidates financials of businesses in which it has only fractional stakes. For example, while Casino only owns 14.2% of Latin America electronics retailer Via Varejo it consolidates the entire amount of Via Varejo’s EBITDA, which on a LTM basis accounted for approximately 21% of Casino’s overall reported EBITDA.<sup>6</sup> Casino fully consolidates the financial statements of this business because accounting standards require a company to fully consolidate results of companies

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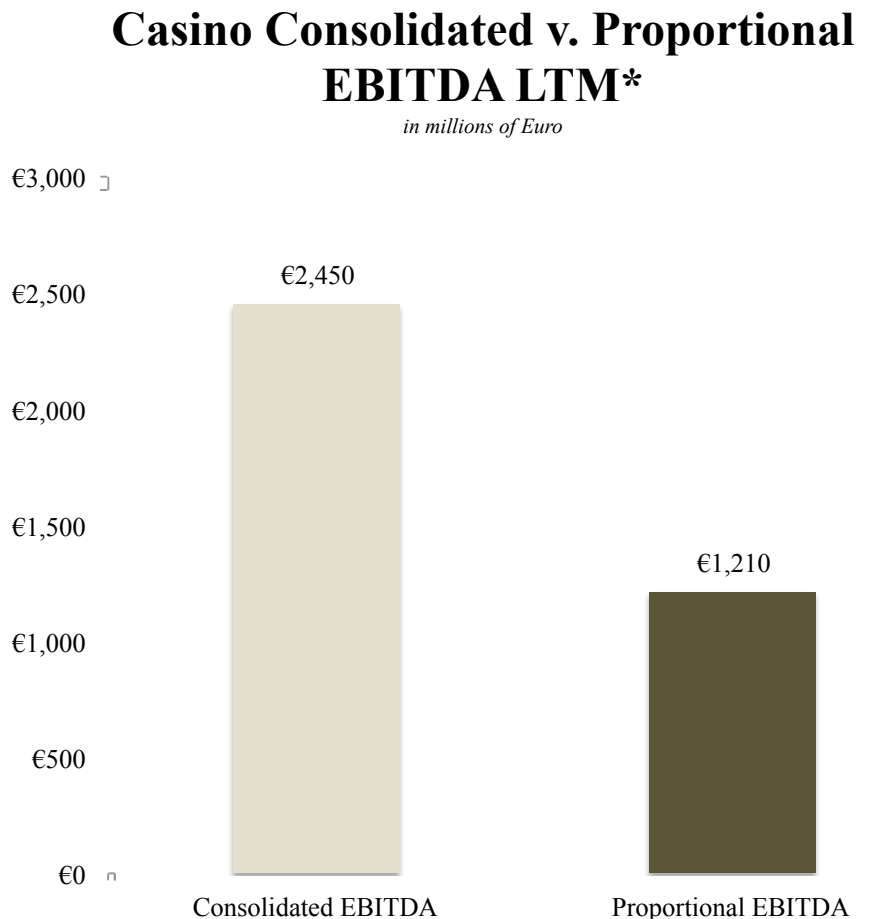
<sup>4</sup> The LTM period is through June 2015 for Casino-France Retail and BigC Vietnam, and through September 2015 for the other business segments, based on public filings for CBD, Exito, Via Varejo, BigC Thailand, and Cnova.

<sup>5</sup> See Section IV.

<sup>6</sup> Casino owns a 50% interest in a holding company that owns 37.5% of CBD, which owns 43.3% of Via Varejo. Casino also directly owns 3.7% of CBD and 54.8% of Grupo Exito. Grupo Exito owns the other 50% of the holding company that owns CBD. This results in Casino owning 14% of Via Varejo through its 32.73% ownership of CBD.

over which it exercises control. However, consolidation does not confer rights to cash flows. Dividends are distributed in proportion to the actual ownership of the business. Casino has an indirect stake in Via Varejo through its 32.73% ownership of common shares of CBD. The non-controlling shareholders of CBD largely own preferred common shares.<sup>7</sup> Preferred common shares are better protected than common shares when it comes to dividend payments, dissolution of the business, and also have withdrawal rights that can force Casino to buy the preferred shares in certain situations.<sup>8</sup>

The bar graph below shows the difference between the consolidated EBITDA Casino reports, and what it proportionally owns.<sup>9</sup>



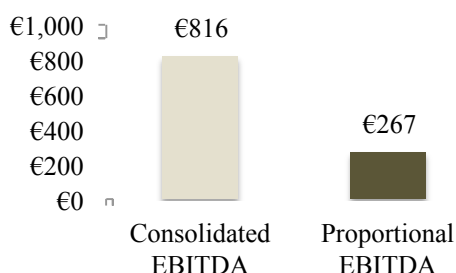
\* LTM estimates based on September 30<sup>th</sup> results where available, and June 30<sup>th</sup> results where not.

<sup>7</sup> CBD Form 20F 2014, p. 73.

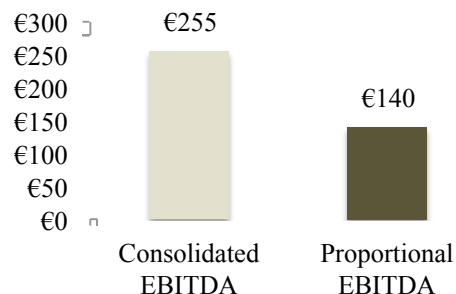
<sup>8</sup> CBD Form 20F 2014, p. 87.

<sup>9</sup> Note that these are LTM estimates, gleaned from a combination of September 30<sup>th</sup> and June 30<sup>th</sup> reports.

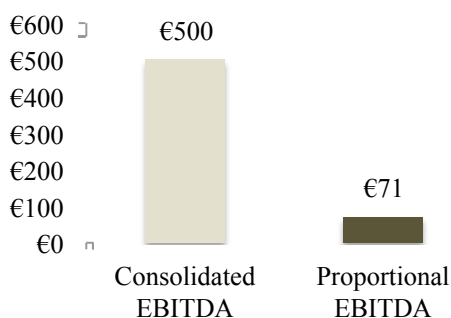
**CBD/GPA Consolidated v.  
Proportional EBITDA LTM Sep  
2015**  
*in millions of Euro*



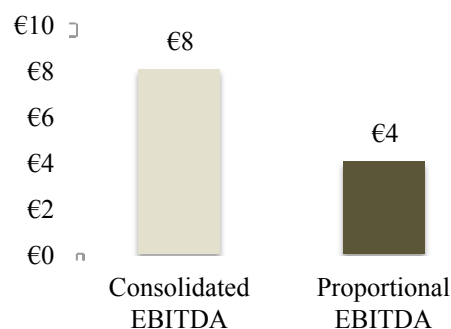
**Exito Consolidated v. Proportional  
EBITDA LTM Sep 2015**  
*in millions of Euro*



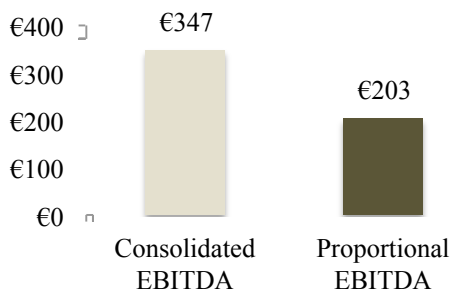
**Via Varejo Consolidated v.  
Proportional EBITDA LTM Sep  
2015**  
*in millions of Euro*



**Cnova Consolidated v.  
Proportional EBITDA LTM Sep  
2015**  
*in millions of Euro*

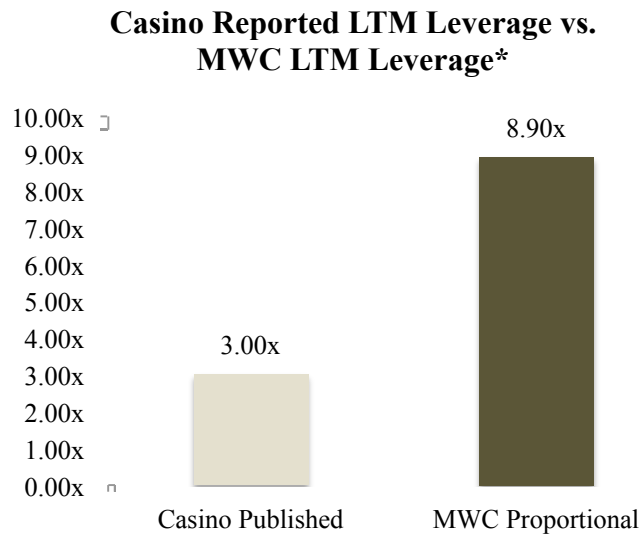


**BigC Thailand Consolidated v.  
Proportional EBITDA LTM Sep  
2015**  
*in millions of Euro*



These bar graphs show the EBITDA that Casino consolidates by entity, along with Casino's economic (or "proportional") ownership of EBITDA. Note: Charts for Casino's operations in France Retail and BigC Vietnam are not included because these are 100% owned.

Below is a graph comparing reported leverage to economic, adjusted leverage.<sup>10</sup> This is the real issue with Casino – it has far more debt to enterprise value than investors realize.



\*Casino's reported LTM leverage is as of June 30<sup>th</sup>; MWC LTM leverage is as of September 30<sup>th</sup> for consolidated companies that report quarterly, blended with parent reporting as of June 30<sup>th</sup>.

### Deconstructing Casino's Economics is Cumbersome

It takes a lot of time and effort to sort through all of the data to back out what really belongs to Casino. Accounting standards mandate consolidation when there is effective control of a company, but we have never seen consolidation practices lead to such an egregious misrepresentation of financial health. Credit ratings analysts are fooled by Casino's presentation and mistakenly estimate proportional leverage at 4x, which is why Casino has to date been rated as investment grade.<sup>11</sup> As a result of this complexity, investors, lenders, and ratings analysts have completely misjudged Casino's value, health, and risk. We expect Casino to re-rate.

To deconstruct the financial statements into its component parts so that a proportional EBITDA number can be calculated, as well as to understand the composition of debt and cash at each of the underlying businesses, we start with the consolidated financial statements for Casino Group and the Casino Parent. Then we analyze public filings from consolidated listed companies in which Casino owns a partial interest. These entities are: CBD, Via Varejo, Grupo Exito, BigC Thailand, and Cnova. Casino also provides segment reporting for the French retail segment, the listed entities and BigC Vietnam on an annual and semi-annual basis. Once the business segments have been deconsolidated the legal ownership for the respective business can be applied to calculate a proportional

<sup>10</sup> Adjustment for likely France retail EBITDA inflation of €165 million through related party transactions.

<sup>11</sup> S&P RatingsDirect Report on Casino Guichard-Perrachon & Cie S.A., December 11, 2015, p. 4

financial metric (EBITDA, debt, cash, etc.). The below table sets forth the ownership interests Casino has in its core businesses that are 100% fully consolidated on its financial statements.

| Business Segment                                            | Ownership |        |        |        |
|-------------------------------------------------------------|-----------|--------|--------|--------|
|                                                             | 2013      | 2014   | 2Q15   | 3Q15   |
| France Retail (Monoprix, Cdiscount, Franprix, Leader Price) | 100.0%    | 100.0% | 100.0% | 100.0% |
| GPA                                                         | 38.1%     | 41.3%  | 41.3%  | 32.7%  |
| Exito                                                       | 54.8%     | 54.8%  | 54.8%  | 54.8%  |
| ViaVarejo                                                   | 16.5%     | 17.9%  | 17.9%  | 14.2%  |
| BigC Thailand - Casino                                      | 58.6%     | 58.6%  | 58.6%  | 58.6%  |
| BigC Vietnam                                                | 100.0%    | 100.0% | 100.0% | 100.0% |
| Cnova                                                       | 100.0%    | 58.1%  | 58.1%  | 55.1%  |
| Proportional Ownership (EBITDA)                             | 63%       | 50%    | 50%    | 49%    |

The above shows what the parent owns. However, it is a bit misleading in that CBD already consolidates Via Varejo and GPA (see Appendix 1). Therefore, when valuing these two entities in Section VI, we do not place separate values on them because those values are captured in CBD's enterprise value. It is also important to note that all debt at the listed companies is already factored into the equity prices, which is why it is important to de-consolidate the debt and cash for valuation purposes.

The next issue is determining what the parent owes. The following table allocates debt and cash between the listed consolidated subsidiaries and the wholly owned entities.

|                                              | Debt Used in Valuation |         |              |
|----------------------------------------------|------------------------|---------|--------------|
|                                              | Parent                 | Listed  | Eliminations |
| Structurally senior debt at listed companies |                        | 3,422   | -            |
| France & Other wholly owned'                 | 916                    | -       | -            |
| Parent company                               | 9,402                  | -       | -            |
| Debt                                         | 10,318                 | 3,422   | -            |
| Monoprix (ORA)                               | 420                    |         |              |
| Intermediate hybrids                         | 1,350                  |         |              |
| TRS                                          | 484                    | -       | -            |
| Total Debt                                   | 12,572                 | 3,422   | -            |
| Post retirement benefits                     | 164                    | -       | -            |
| A/R securitizations                          | -                      | -       | (835)        |
| Captive finance                              | -                      | -       | 781          |
| Total Debt                                   | 12,736                 | 3,422   | (54)         |
| Derivative                                   | (451)                  | -       | -            |
| Surplus Cash                                 | (3,102)                | (1,523) | -            |
| Net Debt                                     | 9,183                  | 1,899   | (54)         |
| Operating leases                             |                        |         |              |

In our Equity Valuation Section VI, we use €9.2 billion as the net debt figure.

## II. Casino's €2 billion Deleveraging Sham

On December 15th, Casino issued a press release titled "Casino Group Decides to Strengthen its Financial Flexibility with a Deleveraging Plan above € 2BN in 2016". While the company stated the board developed this "plan" as part of its annual strategic



review, it is clear that it had not been thought through. Casino's CFO, Antoine Giscard D'Estaing, was unable to explain how the asset sales will occur, expected prices or valuations, or the tax implications. Despite trumpeting this as a "deleveraging", Mr. Giscard D'Estaing was also unable to explain how proceeds would be upstreamed to pay off debt. He added to the confusion by holding out the possibility the proceeds might be used for dividends or even local investments.

When pressed on the contradictions between deleveraging and paying anybody other than creditors, he implied that hugely improved internal cash flow could close the gap. Although Mr. Giscard D'Estaing was careful not to offer any of his own guidance, he helpfully pointed out that "some analysts" are forecasting France EBITDA to grow by €100 million to €150 million in 2016. Mr. Giscard D'Estaing also let listeners know that "some analysts" are forecasting that France FCF will grow from its "close to zero" level today to €200 million to €300 million next year.<sup>12</sup> However, he did not mention that other analysts (including ourselves) have repeatedly asked the company whether France EBITDA and FCF have been inflated through the asset sale transactions with related party Mercialys. (Spoiler: we estimate Casino used these transactions by definition to inflate 2014 and LTM EBITDA by €140 million and €165 million.) Because Casino either repurchases or leases back these properties, they are effectively just financing – i.e., they should never be included in EBITDA or have valuation multiples applied to them.

Casino investors heard a similar story about six months ago when the company announced a €1.7 billion deleveraging transaction by force-feeding some assets to Exito largely at an above market price. Exito investors, whose shares have declined by 37.5% since the announcement, might be surprised to learn that we estimate Casino's proportional net debt grew from €9.7 billion to €10.8 billion from FY 2014 through 30-September, while economic ownership in these assets fell. This growth in net debt is also despite the (not as well publicized) €607 million of asset sales to related party Mercialys during the same period. We encourage investors to again make Mr. Giscard D'Estaing uncomfortable by insisting he explain where these "deleveraging" proceeds have gone.

The table below shows the aftermath to Exito of Casino's "value creating" transaction, in relation to its Bloomberg LatAm comps.

| Exito LatAm Comps 30-Jul-2015 - 14-Dec-2015 |                            |        |
|---------------------------------------------|----------------------------|--------|
| EXITO CB Equity                             | ALMACENES EXITO SA         | -37.5% |
| SORIANAB MM Equity                          | ORGANIZACION SORIANA S.A   | 32.4%  |
| PATA AR Equity                              | IMPORT Y EXPORT PATAGONIA  | 43.3%  |
| WMTCL CI Equity                             | WALMART CHILE SA           | 11.7%  |
| INRETC1 PE Equity                           | INRETAIL PERU CORP         | 10.2%  |
| CENCOSUD CI Equity                          | CENCOSUD SA                | 11.9%  |
| PCAR4 BZ Equity                             | CIA BRASILEIRA DE DIS-PREF | -37.9% |

<sup>12</sup> Mr. Giscard D'Estaing stated "So some analysts have forecast at this stage of an improvement from a level [of FCF] which is close today to a 0,..."

Cynics might think that Casino did not have a real deleveraging plan to announce this week, and that they had ulterior motives for issuing the press release. Casino stock had closed the day before at €45.99. In a recent note, a bulge bracket bank estimated Rallye's value at zero when Casino trades at €46. Rallye management touts that it has €1.8 billion of borrowing capacity (at Rallye).<sup>13</sup> These borrowings require Rallye to pledge Casino shares to secure borrowings.<sup>14</sup>

### III. Hollowing Out to Sustain Liquidity

To maintain liquidity, Casino resorts to hollowing out the business through asset sales that destroy the productive value of the company. Casino's free cash flow appears to fall well short of debt service requirements at Casino and at its parent, Rallye SA (RAL FP). Rallye is Casino's largest shareholder, and controls the company. Rallye has effectively become a parasite because it has borrowed so much against the dividend stream it anticipated receiving from Casino. (Rallye has €2.8 billion net debt, compared to a market cap of only €731.7 million.<sup>15</sup>) The problem now is that free cash flow from Casino's deteriorating businesses cannot sustain the dividends Rallye requires to service its mountain of debt.

We estimate that in 2014, Rallye incurred interest expense of approximately €95 million. Because substantially all of Rallye's cash flows come from Casino dividends, Casino has to dividend out roughly twice that amount for Rallye to service its debt. Casino guides that annual interest expense in France is roughly €150 million. (Note that a rough calculation based on bonds outstanding generates annual interest in excess of €300 million. The lower number is apparently due to an interest rate swap. We are unable to understand how an interest rate swap would have this profound an affect on France interest.) The interest expense on the perpetual securities, which must be paid in order for Casino to pay dividends, is approximately €50 million. Therefore, Casino's de facto financing obligations roughly total at least €425 million annually, and we would expect a number close to €600 million without the quixotic interest rate swaps. We estimate that, and Mr. Giscard D'Estaing confirmed during the December 15<sup>th</sup> call, Casino's France free cash flow is approximately zero at present. The bleak math here is not hard.

Mr. Naouri is thus faced with a choice between bad and worse. "Worse" to him is to cease Casino's dividends and let Rallye collapse. If Rallye collapsed, he would lose most if not his entire Casino holding. "Bad" is to suck as much cash out of Casino as possible in order to pay Rallye interest, even though that means value destructive asset sales, leveraging up Casino subsidiaries, and prioritizing dividends over prudent financial and debt management. Absent a substantial improvement in the business, this modus operandi could impair recovery value for Casino bondholders. Given our estimate of proportional leverage of 8.9x, Casino should think long-term, stop selling assets to pay dividends, and use free cash flow to reduce proportional leverage.

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<sup>13</sup> Rallye Annual Report 2014, p. 181.

<sup>14</sup> Email from Rallye investor relations

<sup>15</sup> Source: S&P Capital IQ.

It is unfortunate to see Casino put its wholly owned BigC Vietnam business up for sale. While Mr. Giscard D'Estaing tried to dismiss BigC Vietnam as only 2.5% of international revenue, he did offer that it is growing at a mid-teens rate with EBIT margins approximately 5.5%. BigC Vietnam is exactly the type of business Casino shareholders want to own. Selling this business clearly illustrates that Casino is liquidating – not growing. The venality of Casino's management further underscored by Exito's planned sale of stakes in its malls. Consider how poor the commercial real estate market in Colombia is right now: is definitely not selling into strength.

As investors who are short Casino's stock we would love to see Casino liquidate all of its assets. Reason being, our valuation indicates that the sum of the parts of Casino's assets are worth only €6.91 per share

#### IV. Casino Likely Inflates France EBITDA to Disguise Deterioration

Casino's France retail June 2015 LTM EBITDA was likely inflated by real estate transactions with Mercialys by up to €165 million. Casino sold €607 million in real estate to Mercialys between January 1, 2014 and June 30, 2015.<sup>16</sup> We estimate these transactions generated accounting net gains on sale of €218 million.<sup>17</sup> We believe these gains have been accounted for in a manner that inflates EBITDA. Regardless of whether these gains are included in EBITDA, the fact that Casino generally either leases or buys back these properties makes these sales de facto financing transactions. To the extent Mercialys pays prices that generate gains on sales for Casino, presumably it is because Casino is going to effectively repay Mercialys (either through lease or purchase), making the entire concept of gains on sale spurious.

It is our understanding that these sales are largely of stores where due to shrinkage of Casino's business, there is now excess space. Casino sells the locations to Mercialys, which then downsizes the Casino store footprint and reconfigures the excess space for lease or sale to third parties. Casino has a repurchase or lease option for the downsized location.

On a LTM basis, our estimate of likely EBITDA inflation from these transactions is €165 million. If we are largely correct about the inflation of France retail EBITDA, it means that the core business in France has been in a significant decline since 2013.

|                        |      |      | 6 months ended |         | LTM     |
|------------------------|------|------|----------------|---------|---------|
|                        | 2013 | 2014 | 6/28/14        | 6/28/15 | 6/28/15 |
| French Retail          |      |      |                |         |         |
| Reported               | 987  | 835  | 326            | 146     | 655     |
| Less: Gain on sale     | -    | 140  | 54             | 79      | 165     |
| Adjusted French Retail | 987  | 695  | 272            | 67      | 490     |
| % change               | --   | -30% | --             | -75%    | -29%    |

<sup>16</sup> Groupe Casino 2014 Registration Document, p.47 and Groupe Casino Interim Financial Report, 30 June 2015, p. 28..

<sup>17</sup> See Table: Analysis of Casino-Mercialys Real Estate Transactions

To estimate these numbers, we first backed into the gains on sale in each period. We did this by finding the disclosures on the “neutralisation” for the gains on sales to Mercialys. Because Casino owns 40.25% of Mercialys, Casino makes an accounting adjustment to avoid flowing 40.25% of the gain on sale to Casino’s balance sheet. The neutralisations were €36 million, €94 million, and €38 million respectively in H1 2014, FY 2014, and H1 2015. Dividing each neutralisation by 40.25% yields the total gain on sale.

To find the amount of gain on sale that Casino booked, we subtracted the neutralisation from the aggregate gain on sale. In H1 2015, Casino also reported €22 million in gains on sale from Mercialys selling properties to an affiliate, Hyperthetis Participations. The results are as follows:

**Table: Analysis of Casino-Mercialys Real Estate Transactions**

| Real Estate Gain Booked to EBITDA       | 2014   | 1H14   | 1H15   | LTM    | Total  |
|-----------------------------------------|--------|--------|--------|--------|--------|
| RE Sold to Mercialys                    | 440    | 169    | 167    | 438    | 607    |
| Gain on Sale                            | 234    | 89     | 94     | 239    | 328    |
| Casino Ownership in Mercialys           | 40.25% | 40.25% | 40.25% | 40.25% | 40.25% |
| Neutralization of Gain on Balance Sheet | 94     | 36     | 38     | 96     | 132    |
| Gain booked to EBITDA                   | 140    | 53     | 56     | 143    | (86)   |
| Hyperthetis                             | -      | -      | 22     | 22     | 22     |
| Total Gains Booked to EBITDA            | 140    | 53     | 78     | 164.5  | 218    |
| Beginning Investment Balance            | 561    | 561    | 457    |        |        |
| Other adjustments                       | (10)   | (14)   | (13)   |        |        |
| Hyperthetis                             |        |        | 22     |        |        |
| Neutralization of Gain on Balance Sheet | (94)   | (36)   | (38)   |        |        |
| Ending Investment Balance               | 457    | 511    | 428    |        |        |

We believe that substantially all of these gains are included in EBITDA. We recently emailed Casino’s director of investor relations the following question:

“I read the CFO's comments in the earnings transcripts and spoke [to] some of the equity analysts who told me that the gain on sale is included in French EBITDA, can you please confirm.”

We received a reply that appears to confirm Casino includes such gains in EBITDA:

“If you mean by “gain on sale” the gain from real estate promotion (i.e. the selling of walls/sites + rights to build attached and one day the option to buy back the walls of the shrunken stores) yes it is included in the EBIT/EBITDA”

The aforementioned answer is not as clear as it could be, which is consistent with Casino’s muddling on this issue. On the October 15, 2015 Casino earnings call, an analyst asked Mr. Giscard D’Estaing to quantify the gains on sale flowing through EBITDA.<sup>18</sup> Mr. Giscard D’Estaing’s response was lengthy and failed to address the

<sup>18</sup> The question was “...I think traditionally, your French EBIT include a bit of a capital gain from property-related transactions. Could you provide us with a number, how much of these capital

question, other than to say the company does not disclose the “exact number”, but that the numbers are fairly consistent from year-to-year. There is one portion of the response we found interesting for its defensiveness:

“...The very important message here is, there is value creation here, both for the owner of the stores, the parkings and I think where new activity is created, this is us and there is value creation as well from Mercialys. So the message here is we expect these renovations to continue and we expect to generate some profits from these projects in the future as well. I think in the interest of the investor community, we might organize, together with Régine and the team of Mercialys, a site visit so people realize that this is not financial engineering...”<sup>19</sup>

Regardless of the denial, booking gains from sale on these transactions seems exactly like financial engineering.

The disclosure of Casino’s treatment of the proportional gains on sales from Mercialys to Hyperthetis is consistent with our belief that Casino flows substantially all of its real estate gains through EBITDA:

“Mercialys created the company Hyperthetis Participations including 6 real estate assets resulting from the asset transfers made by Casino to Mercialys in 2014. This newly created company is 51% held by Mercialys and 49% by a third party investor. The transaction resulted in the recognition in “other income” of an additional fraction of 49% of the profit from the sale which had previously been eliminated to the extent of 40%. On the other hand, the dilution of the Group in Hyperthetis Participations was recognised in share of profit of equity-accounted entities.”<sup>20</sup>

(“Other income” flows into operating income, which is the basis for the EBITDA calculation.)

If Casino flows much of the gains from sale through EBITDA, it would on the surface appear to contradict its accounting policy, which could be why IR refers to the transactions as “real estate promotion”, rather than “disposal”. The policy disclosure reads:

“An item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an asset is determined as the difference between the net sale proceeds, if any, and the carrying amount of the asset. It is

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gains you expect to contribute to your French profit this year, and also maybe how this amount compared to last year? And related to that, should we be expecting a lot of these transactions to happen also next year, and is that included in your budget?”

<sup>19</sup> 15 October 2015 Casino Q3 Sales/Trading Statement Call

<sup>20</sup> Casino H1 2015 Results, p. 28.

recognised in profit or loss (“Other operating income and expense”) when the asset is derecognised.”<sup>21</sup>

(“Other operating income” is below the operating income line, and would traditionally be excluded from EBITDA.)

Casino’s disclosures of the components of Other Operating Income support our contention that substantially all of the gains on property sales to Mercialys flow into EBITDA. In 2013, Casino disclosed Other Operating Income from gains on asset disposals:<sup>22,23</sup>

**Other operating income and expense** showed a net income of €261 million for the year, compared with €377 million of income for 2012.

The €261 million of net income for 2013 primarily included:

- €58 million in capital gains on asset disposals;
- €551 million in net income related to scope operations (notably the revaluation at fair value of the previously held interest in Mercialys and Monoprix);
- €79 million in net impairment of assets;
- €148 million in provisions and charges for restructuring;
- €86 million in legal and risk provisions and charges, and others.

(See Note 8 - Other operating income and expenses in the notes to the consolidated financial statements)

In 2014, there was no disclosure about significant asset disposal gains in Other Operating Income, leading us to believe that substantially all of the gains were excluded from Other Operating Income, and therefore are included in Casino’s EBITDA.<sup>24</sup>

| € millions                                                                          | 2014         | 2013 restated |
|-------------------------------------------------------------------------------------|--------------|---------------|
| Total other operating income                                                        | 244          | 999           |
| Total other operating expenses                                                      | (738)        | (732)         |
|                                                                                     | (494)        | 266           |
| <b>Breakdown by type</b>                                                            |              |               |
| Gains and losses on disposal of non-current assets                                  | (4)          | 61            |
| Other operating income and expenses                                                 | (490)        | 205           |
| Restructuring provisions and expenses <sup>(i)</sup>                                | (197)        | (147)         |
| Asset impairment losses <sup>(iv)</sup>                                             | (53)         | (79)          |
| Provisions and expenses for litigation and risks <sup>(ii)</sup>                    | (97)         | (85)          |
| Net income/(expenses) related to changes in scope of consolidation <sup>(iii)</sup> | (136)        | 551           |
| Other                                                                               | (7)          | (35)          |
| <b>Total other operating income and expenses, net</b>                               | <b>(494)</b> | <b>266</b>    |

<sup>21</sup> Casino 2014 Financial Statements, p. 72; 2013 Financial Statements, p. 31.

<sup>22</sup> Casino 2013 Financial Statements, p. 11.

<sup>23</sup> Casino slightly restated the amount of 2013 disposals upward by €3 million in 2014.

<sup>24</sup> Casino 2014 Registration Document, p. 20.

## Operating profit

**Other operating income and expenses** show a net expense of €494 million in 2014, compared with net income of €266 million in 2013.

The €494 million net expense in 2014 involves primarily:

- restructuring provisions and expenses of €197 million, including €34 million at GPA in Brazil; the other companies concerned are Casino, Franprix-Leader Price and Casino Restauration;
- provisions and expenses for taxes, risks and litigation, totalling €97 million, primarily concerning GPA in Brazil (€84 million);
- net expenses of €136 million, related to changes in scope, including €31 million for the GPA Group in Brazil, €47 million for the French companies, and €26 million in IPO costs.

Investors should adjust Casino's EBITDA to exclude any accounting gains from the sale of real estate. Because the sale of real estate relates primarily to downsizing excess retail square footage, these are really gains from operational restructuring. Further, because Casino essentially repays Mercialys for these purchases (either by leasing or buying the properties), these sales are really financing cash flows, and including them in operating cash flow would be highly misleading. It is unclear if bank covenants require the company to eliminate these gains from EBITDA calculations.

Mercialys's creation of the Hyperthetis joint venture allows Casino to book another gain on sale when Mercialys sells properties to the joint venture. Casino also has a call option to buy back these properties at market price covering 100% of the assets of Hyperthetis that can be exercised from 30 September 2020 to 31 March 2022.<sup>25</sup> This again illustrates it is a financing transaction for Casino, and that it is possibly dressed up as operating cash flow.

### V. S&P Methodology Understates Casino Proportional Debt

S&P calculates Casino's proportional lease adjusted debt as of FY 2014 to be €9.4 billion. We believe S&P's methodology significantly understates the amount. Our proportional lease adjusted debt calculation as of FY 2014 is €15.6 billion. We estimate that the LTM lease adjusted debt has blown out to €17.7 billion.<sup>26</sup> The table below compares S&P's methodology to our own:

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<sup>25</sup> Groupe Casino Interim Financial Report, 30 June 2015, Section 3.2.3, p. 28.

<sup>26</sup> Estimate based on September 30<sup>th</sup> filings where available, June 30<sup>th</sup> where not.

|                                            | 2014         |            |              |       | LTM<br>MWC   |
|--------------------------------------------|--------------|------------|--------------|-------|--------------|
|                                            | S&P          | Adjustment | MWC          |       |              |
| Adj. EBITDAR                               | 3,667        | 500        | 4,168        | (484) | 3,684        |
| Operating leases                           | (801)        | (426)      | (1,227)      | (7)   | (1,234)      |
| Adjusted EBITDA (after captive finance)    | <u>2,866</u> |            | <u>2,941</u> |       | <u>2,450</u> |
| Proportional Adj. EBITDAR                  | <u>2,360</u> | 274        | <u>2,634</u> | (383) | <u>2,251</u> |
| Proportional Adjusted EBITDA MWC ESTIMATED | <u>1,681</u> | (88)       | <u>1,593</u> |       | <u>1,210</u> |

|                                                      | 2014         |            |               | Change | LTM<br>MWC    |
|------------------------------------------------------|--------------|------------|---------------|--------|---------------|
|                                                      | S&P          | Adjustment | MWC           |        |               |
| Structurally senior debt at listed companies         | n.a.         |            | 3,044         | 378    | 3,422         |
| France & Other wholly owned'                         | n.a.         |            | 800           | 117    | 916           |
| Parent company                                       | n.a.         |            | 9,905         | (503)  | 9,402         |
| Debt                                                 | 13,748       | 1          | 13,749        |        | 13,740        |
| Monoprix (ORA)                                       | 420          |            | 420           |        | 420           |
| Intermediate hybrids                                 | 675          | 675        | 1,350         |        | 1,350         |
| TRS                                                  | -            | 198        | 198           | 286    | 484           |
| Total Debt                                           | 14,843       |            | 15,717        |        | 15,994        |
| Post retirement benefits                             | 158          |            | 158           | 6      | 164           |
| A/R securitizations                                  | 835          |            | 835           |        | 835           |
| Captive finance                                      | (781)        |            | (781)         |        | (781)         |
| Total Debt                                           | 15,055       |            | 15,929        |        | 16,212        |
| Derivative                                           | (567)        |            | (567)         | 116    | (451)         |
| Surplus Cash                                         | (6,668)      |            | (6,668)       | 3,744  | (2,924)       |
| Net Debt                                             | 7,820        |            | 8,694         |        | 12,836        |
| Operating leases                                     | 1,918        | 7,898      | 9,816         | 52     | 9,868         |
| Net Lease Adjusted Debt                              | <u>9,718</u> | **         | <u>18,510</u> |        | <u>22,704</u> |
| Proportional Net Debt (ESTIMATE)                     | <u>n.a.</u>  |            | <u>9,689</u>  |        | <u>10,824</u> |
| Proportional Lease Adjusted Debt                     | <u>9,375</u> |            | <u>15,611</u> |        | <u>17,727</u> |
| Wholly Owned Adjusted Net Debt (ex. captive finance) | <u>n.a.</u>  |            | <u>10,267</u> |        | <u>9,634</u>  |

\*\*There is a €20 million discrepancy in summing the S&P numbers that we cannot reconcile.

Based on FY 2014, the items we include that S&P does not are i) the full value of the intermediate hybrid securities, ii) the total return swap liability, and iii) an additional €7.9 billion of operating lease adjustments.

- We include the full value of the intermediate hybrids because Casino must pay the hybrid coupons before paying dividends to Casino shareholders. Because Casino's controlling shareholder, Rallye, needs Casino's dividends to avoid collapsing, Casino is de facto obligated to pay the hybrid dividends.
- The total return swaps on notional value €735 million of CBD and BigC Thailand equities (as of FY 2014) are liabilities that Casino must eventually settle (provided the underlying positions remain negative). Starting in 2011, Casino entered into a series of TRS transactions in the shares of CBD and BigC Thailand. Those shares have declined precipitously, and as of H1 2015, Casino had a TRS liability of €371 million.<sup>27</sup> We estimate that due to continuing declines in the underlying securities, as of 16 December 2015, the liability has increased to approximately €480 million.<sup>28</sup> We are not sure of the rationale for the TRSes other than they seem to be levered punts.
- We believe S&P has greatly understated Casino's operating lease obligations. Credit convention is to multiply operating lease expense (on long-term leases) by

<sup>27</sup> Groupe Casino Interim Financial Report, 30 June 2015, p. 35.

<sup>28</sup> Based on the estimated reference price of the underlying securities relative to the trading price.



eight in order to adjust for the debt they represent. S&P discounts Casino's contracted lease expenses to the present. The problem is that Casino nominally has short-term leases, but Casino obviously needs to renew the leases to continue operating its business. As a result, S&P assumes a small number of future lease payments.

We believe that S&P should assume that Casino renews the leases required to generate the level of EBITDA necessary for the rating. To illustrate the absurdity of S&P's approach in this situation, take an example of two identical retailers – one with a 10-year lease and one with a 1-year lease. Under S&P's methodology, the company with the 10-year lease would be a much worse credit. This obviously does not jibe with reality. (The reality is Casino is going to renew these leases if it is going to stay in business.) We wonder whether Casino structures its leases as short-term in order to game S&P's debt calculation methodology.

S&P's BBB- rating is based in large part on the leverage ratio. S&P uses December 31, 2014 numbers, which in Casino's case, are significantly better than its LTM numbers. Casino and its subsidiaries have evidenced significant deterioration since 2014. Casino itself reports semi-annually, but its listed subsidiaries report quarterly. We have estimated LTM numbers for Casino as a group by using the September 30<sup>th</sup> financials where available, and holding steady Casino's balance sheet numbers from June 30<sup>th</sup>.

## VI. Equity Valuation

EBITDA is the main metric driving the enterprise and equity valuations. Casino has both listed public company investments and private wholly owned investments. For the listed public company investments, we use Casino's ownership interest in the common shares multiplied by the current public market-trading price of the stock. We value Casino's wholly owned privately held businesses using EBITDA and an E/V to EBITDA multiple. Casino has wholly owned businesses including the French retail entities and BigC Vietnam.

We calculate the EBITDA for the wholly owned France Retail operation, adjust to remove an estimated financial engineering contribution of €165 million in 2014, apply a multiple that reflects the health of the business (8x), and subtract the net debt to arrive at an equity value of €5.7 billion. For the wholly owned Vietnam retail operation, we apply a multiple that reflects the health of the business (10x), and subtract the net debt to arrive at an equity value of €468 million. We then take the sum total of all of the equity values for the wholly owned and partially owned businesses (€4.5 billion), and add non core assets (€1 billion) to arrive at a value that is distributable or applied to cover the parent debt and financial obligations. The residual value that is left is the Casino equity value: €6.91 per share.

Our base case sum-of-the-parts valuation is € 782 million (€6.91 per share). The following table shows our methodology and calculations.

|             |                                                                 | LTM<br>EBITDA | Multiple   | EV      | Consolidated<br>Debt | Hybrid<br>Debt | Preferred<br>& Other | Consolid<br>Cash | Minority<br>Adjust | Equity<br>Value | Ownership | Value       | Proportional<br>EBITDA |
|-------------|-----------------------------------------------------------------|---------------|------------|---------|----------------------|----------------|----------------------|------------------|--------------------|-----------------|-----------|-------------|------------------------|
| <b>I</b>    | <b>Operating Assets</b>                                         |               |            |         |                      |                |                      |                  |                    |                 |           |             |                        |
| A           | Wholly Owned Consolidated Companies                             |               |            |         |                      |                |                      |                  |                    |                 |           |             |                        |
|             | France                                                          | 490           | 8.0 x      | 3,924   | 916                  | 420            |                      | 3,096            |                    | 5,684           | 100.0%    | 5,684       | 490                    |
|             | BigC Vietman                                                    | 47            | 10.0 x     | 468     | -                    |                |                      | -                |                    | 468             | 100.0%    | 468         | 47                     |
|             | Wholly Owned Consolidated Companies                             | 537           | 8.2 x      | 4,392   | 916                  | 420            |                      | 3,096            |                    | 6,152           | 100.0%    | 6,152       | 537                    |
| B           | Partially Owned Consolidated Listed Companies                   | 0             |            |         | -                    |                |                      | -                |                    |                 |           |             |                        |
|             | CBD / GPA                                                       | 1,324         | 4.7 x      | 6,175   | 1,453                | -              | 815                  | 1,224            | 2,288              | 2,843           | 22.5%     | 640         | 342                    |
|             | Big C (Thailand)                                                | 347           | 12.9 x     | 4,493   | 545                  |                |                      | 67               |                    | 4,015           | 58.6%     | 2,352       | 203                    |
|             | Grupo Exito                                                     | 255           | 9.3 x      | 2,360   | 1,424                |                |                      | 233              | (682)              | 1,850           | 54.8%     | 1,014       | 140                    |
|             | Cnova (consolidated on CBD)                                     | 8             | <i>nmf</i> | 1,199   | 380                  | -              | (4)                  | 292              |                    | 1,114           | 43.3%     | 483         | 4                      |
| C           | Eliminations                                                    | (13)          |            | (1,199) | (380)                |                |                      | (292)            |                    |                 |           |             | (17)                   |
|             | Partially Owned Consolidated Listed Companies                   | 1,921         | 6.8 x      | 13,028  | 3,422                | -              |                      | 1,523            |                    | 9,823           | 45.7%     | 4,489       | 673                    |
|             | Total Operating Assets                                          | 2,458         | 7.1 x      | 17,419  | 4,338                | 420            |                      | 4,619            |                    | 15,974          | 66.6%     | 10,641      | 1,210                  |
|             |                                                                 |               |            |         |                      |                |                      | -                |                    |                 |           |             |                        |
| <b>II</b>   | <b>Non Operating Assets</b>                                     |               |            |         |                      |                |                      |                  |                    |                 |           |             |                        |
|             | Mercialys                                                       |               |            |         |                      |                |                      |                  |                    |                 |           | 758         |                        |
|             | Poland Land                                                     |               |            |         |                      |                |                      |                  |                    |                 |           | 200         |                        |
|             | Other                                                           |               |            |         |                      |                |                      |                  |                    |                 |           | 101         |                        |
|             | Non operating assets                                            |               |            |         |                      |                |                      |                  |                    |                 |           | 1,059       |                        |
| <b>III</b>  | <b>Structurally Senior Financial Liabilities, Primarily TRS</b> |               |            |         |                      |                |                      |                  |                    |                 |           | (484)       |                        |
| <b>IV</b>   | <b>Pension</b>                                                  |               |            |         |                      |                |                      |                  |                    |                 |           | (164)       |                        |
| <b>V</b>    | <b>Structurally Senior Asset, mainly hedge assets</b>           |               |            |         |                      |                |                      |                  |                    |                 |           | 451         |                        |
|             | Value to Parent                                                 |               |            |         |                      |                |                      |                  |                    |                 |           | 11,502      |                        |
| <b>VI</b>   | <b>Parent Assets (Liabilities)</b>                              |               |            |         |                      |                |                      |                  |                    |                 |           | 31          |                        |
|             | Value to Cover Parent Debt                                      |               |            |         |                      |                |                      |                  |                    |                 |           | 11,533      |                        |
| <b>VII</b>  | <b>Parent Debt</b>                                              |               |            |         |                      |                |                      |                  |                    |                 |           | 9,402       |                        |
|             | Residual Value                                                  |               |            |         |                      |                |                      |                  |                    |                 |           | 2,132       |                        |
| <b>VIII</b> | <b>Hybrids</b>                                                  |               |            |         |                      |                |                      |                  |                    |                 |           | 1,350       |                        |
|             | VALUE TO CASINO COMMON SHAREHOLDERS                             |               |            |         |                      |                |                      |                  |                    |                 |           | 782         |                        |
|             | Shares Outstanding                                              |               |            |         |                      |                |                      |                  |                    |                 |           | 113         |                        |
|             | <b>PRICE PER SHARE</b>                                          |               |            |         |                      |                |                      |                  |                    |                 |           | <b>6.91</b> |                        |

## Appendix 1: Rallye and Groupe Casino Corporate Structure

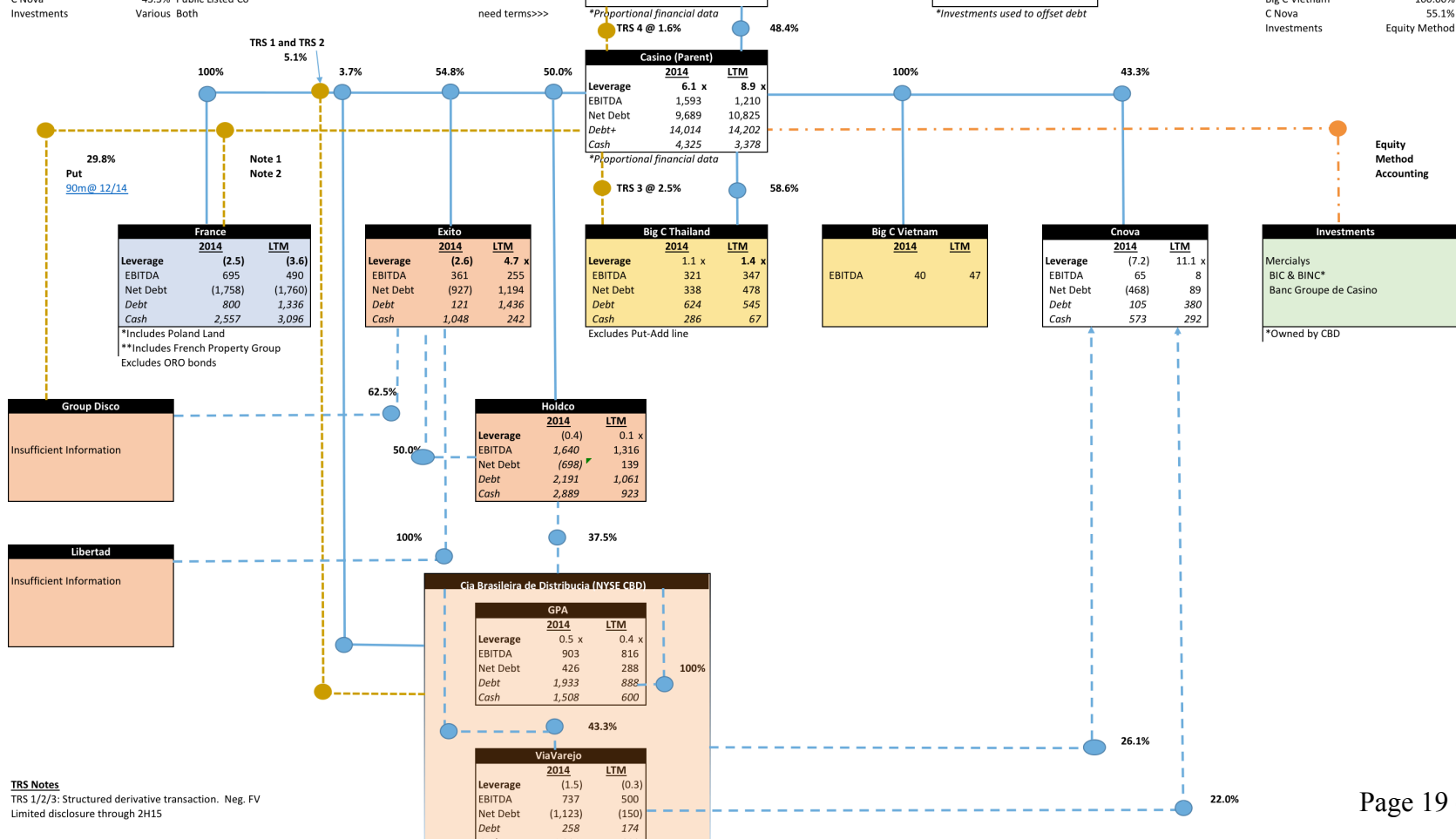
## Rallye Legal Chart

| Sum of Parts   |         |                  |
|----------------|---------|------------------|
| France         | 100.0%  | Private          |
| Exito          | 54.8%   | Public Listed Co |
| CBD            | 22.5%   | Public Listed Co |
| Big C Thailand | 58.6%   | Public Listed Co |
| Big C Vietnam  | 100.0%  | Private          |
| C Nova         | 43.3%   | Public Listed Co |
| Investments    | Various | Both             |

| Rallye ( Holdco) |             |            |
|------------------|-------------|------------|
|                  | <u>2014</u> | <u>LTM</u> |
| Leverage         | 8.8 x       | 12.9 x     |
| EBITDA           | 797         | 585.6      |
| Net Debt+        | 6,997       | 7,550      |

| Investments          |
|----------------------|
| GO Sport             |
| Investment Portfolio |
| Other                |

| Economic EBITDA |               |
|-----------------|---------------|
| France          | 100.00%       |
| Exito           | 54.80%        |
| GPA             | 32.73%        |
| ViaVarejo       | 14.17%        |
| Big C Thailand  | 58.59%        |
| Big C Vietnam   | 100.00%       |
| C Nova          | 55.1%         |
| Investments     | Equity Method |



**Appendix 2 Proportional EBITDA Calculation**  
**in Euros**

|                                                                  | 2014<br>S&P Deconco | Reported |       |                | Muddy Waters Estimated Most Recent |                     |                   |                    | Recent<br>Period |
|------------------------------------------------------------------|---------------------|----------|-------|----------------|------------------------------------|---------------------|-------------------|--------------------|------------------|
|                                                                  |                     | 2013     | 2014  | LTM<br>6/28/15 | Estimated<br>Recent                | Exit<br>Transaction | MW<br>Adjustments | Proforma<br>Recent |                  |
| <b>France</b>                                                    |                     |          |       |                |                                    |                     |                   |                    |                  |
| France Retail (Monoprix, Cdiscount, Franprix, Leader Price)      | -                   | 987      | 695   | 490            | 490                                |                     |                   | 490                | Jun-15           |
| Real Estate Gains                                                | -                   | -        | 140   | 165            | 165                                |                     | (165)             | 0                  |                  |
| France Retail (Monoprix, Cdiscount, Franprix, Leader Price)      | -                   | 987      | 835   | 655            | 655                                |                     |                   | 490                |                  |
| Economic Ownership                                               | 0%                  | 100%     | 100%  | 100%           | 100.0%                             |                     |                   | 100%               |                  |
| Proportional EBITDA                                              | -                   | 987      | 835   | 655            | 655                                |                     |                   | 490                |                  |
| <b>Latam America Retail</b>                                      |                     |          |       |                |                                    |                     |                   |                    |                  |
| A GPA                                                            | 1,640               | 675      | 903   | 837            | 816                                |                     |                   | 816                | Sep-15           |
| Economic Ownership                                               | 58.68%              | 38.1%    | 41.3% | 41.3%          | 41.3%                              |                     |                   | 32.7%              |                  |
| Proportional EBITDA                                              | 962                 | 257      | 373   | 346            | 337                                | (70)                |                   | 267                |                  |
| B Exit                                                           | 361                 | 368      | 361   | 361            | 367                                | (112)               | 0                 | 255                | Sep-15           |
| Economic Ownership                                               | 45.20%              | 54.8%    | 54.8% | 54.8%          | 54.8%                              |                     |                   | 54.8%              |                  |
| Proportional EBITDA                                              | 163                 | 201      | 198   | 198            | 201                                |                     |                   | 140                |                  |
| C Libertad/Other, net                                            | -                   | 210      | (49)  | (19)           | (19)                               | 19                  |                   | -                  | >>>>>>           |
| Economic Ownership                                               | 100%                | 100%     | 100%  | 100%           | 100.0%                             |                     |                   | 100%               |                  |
| Proportional EBITDA                                              | -                   | 210      | (49)  | (19)           | (19)                               |                     |                   | -                  |                  |
| D Latin American Retail-Casino                                   | 2,001               | 1,253    | 1,215 | 1,179          | 1,164                              | (93)                | -                 | 1,071              |                  |
| Proportional Latam American Retail                               | 1,126               | 669      | 522   | 525            | 519                                | (70)                |                   | 407                |                  |
| <b>Latam Electronics</b>                                         |                     |          |       |                |                                    |                     |                   |                    |                  |
| Via Varejo                                                       | -                   | 600      | 737   | 659            | 515                                |                     | -15               | 500                | Sep-15           |
| Economic Ownership                                               | 16.5%               | 16.5%    | 17.9% | 17.9%          | 17.9%                              |                     |                   | 14.2%              |                  |
| Proportional EBITDA                                              | -                   | 99       | 132   | 118            | 92                                 | (21)                |                   | 71                 |                  |
| <b>Asia</b>                                                      |                     |          |       |                |                                    |                     |                   |                    |                  |
| A BigC Thailand - Casino                                         | 321                 | 322      | 321   | 353            | 347                                |                     |                   | 347                | Sep-15           |
| Economic Ownership                                               | 41.41%              | 58.6%    | 58.6% | 58.6%          | 58.6%                              |                     |                   | 58.6%              |                  |
| Proportional EBITDA                                              | 133                 | 189      | 188   | 207            | 203                                | -                   |                   | 203                |                  |
| B BigC Vietnam                                                   | -                   | 46       | 40    | 47             | 47                                 |                     |                   | 47                 | N/A              |
| Economic Ownership                                               | 0%                  | 100%     | 100%  | 100%           | 100.0%                             |                     |                   | 100.0%             |                  |
| Proportional EBITDA                                              | -                   | 46       | 40    | 47             | 47                                 |                     |                   | 47                 |                  |
| C Asia - Casino                                                  | 321                 | 368      | 361   | 400            | 394                                |                     |                   | 394                |                  |
| Proportional Asia EBITDA                                         | 133                 | 234      | 228   | 254            | 250                                |                     |                   | 250                |                  |
| <b>Ecommerce</b>                                                 |                     |          |       |                |                                    |                     |                   |                    |                  |
| Cnova                                                            | 65                  | 50       | 65    | 31             | 8                                  |                     |                   | 8                  | Sep-15           |
| Economic Ownership                                               | 41.90%              | 100.0%   | 58.1% | 58.1%          | 58.1%                              |                     |                   | 55.1%              |                  |
| Proportional EBITDA                                              | 27                  | 50       | 38    | 18             | 5                                  | (0)                 |                   | 4                  |                  |
| <b>Other</b>                                                     | -                   | 79       | (22)  | (28)           | (28)                               |                     | 15                | (13)               | Jun-15           |
| <b>Total</b>                                                     |                     |          |       |                |                                    |                     |                   |                    |                  |
| Operating EBITDA                                                 | 2,387               | 3,337    | 3,191 | 2,896          | 2,708                              | (93)                | (165)             | 2,450              |                  |
| Economic Ownership - Blended Average                             | 53.9%               | 63.5%    | 54.3% | 53.2%          | 55.1%                              |                     |                   | 49.4%              |                  |
| Proportional EBITDA                                              | 1,286               | 2,118    | 1,733 | 1,541          | 1,493                              | (92)                | (192)             | 1,210              |                  |
| <b>Adjustments</b>                                               |                     |          |       |                |                                    |                     |                   |                    |                  |
| <b>S&amp;P Addback</b>                                           |                     |          |       |                |                                    |                     |                   |                    | Jun-15           |
| Mercialys - Casino Real Estate Gain in EBITDA                    |                     |          | 140   | 143            |                                    |                     |                   |                    |                  |
| Mercialys - BNP (Hyperthetys) Real Estate Gain in EBITDA         |                     |          | -     | 22             |                                    |                     |                   |                    |                  |
| <b>Adjusted Reported EBITDA</b>                                  | 2,387               | 3,337    | 3,051 | 2,731          | 2,708                              | (93)                | (165)             | 2,450              |                  |
| <b>Adjusted Proportional EBITDA</b>                              | 1,286               | 2,118    | 1,593 | 1,377          | 1,493                              | (92)                | (192)             | 1,210              |                  |
| <b>Adjusted Proportional EBITDA -% of Casino Reported EBITDA</b> | 54%                 | 63%      | 50%   | 50%            | 55%                                |                     |                   | 49%                |                  |

### Appendix 3: Proportional Cash Calculation

in Euros

|                                      |                                                             | Reported |       |               | Muddy Waters Estimated Most Recent |                      |                   |                    | Period |
|--------------------------------------|-------------------------------------------------------------|----------|-------|---------------|------------------------------------|----------------------|-------------------|--------------------|--------|
|                                      |                                                             | 2013     | 2014  | At<br>6/28/15 | Estimated<br>Recent                | Exito<br>Transaction | MW<br>Adjustments | Proforma<br>Recent |        |
| France                               |                                                             |          |       |               |                                    |                      |                   |                    |        |
|                                      | France Retail (Monoprix, Cdiscount, Franprix, Leader Price) | 1,015    | 2,557 | 1,385         | 1,385                              | 1711.25              |                   | 3,096              | Jun-15 |
|                                      | Economic Ownership                                          | 100%     | 100%  | 100%          | 100%                               |                      |                   | 100%               |        |
|                                      | Proportional Cash                                           | 1,015    | 2,557 | 1,385         | 1,385                              |                      |                   | 3,096              |        |
| Latam America Retail                 |                                                             |          |       |               |                                    |                      |                   |                    |        |
| A                                    | GPA                                                         | 1,235    | 1,508 | 691           | 600                                |                      |                   | 600                | Sep-15 |
|                                      | Economic Ownership                                          | 38.1%    | 41.3% | 41.3%         | 41.3%                              |                      |                   | 32.7%              |        |
|                                      | Proportional Cash                                           | 470      | 623   | 285           | 248                                |                      |                   | 196                |        |
| B                                    | Exito                                                       | 1,023    | 1,048 | 666           | 566                                | (324)                | -                 | 242                | Sep-15 |
|                                      | Economic Ownership                                          | 54.8%    | 54.8% | 54.8%         | 54.8%                              |                      |                   | 54.8%              |        |
|                                      | Proportional Cash                                           | 560      | 574   | 365           | 365                                | (232)                |                   | 133                |        |
| C                                    | Libertad/Other, net                                         | -        | -     | -             | -                                  |                      |                   | -                  |        |
|                                      | Economic Ownership                                          | 100%     | 100%  | 100%          | 100%                               |                      |                   | 100%               |        |
|                                      | Proportional Cash                                           | -        | -     | -             | -                                  |                      |                   | -                  |        |
| D                                    | Latin American Retail-Casino                                | 2,258    | 2,556 | 1,357         | 1,165                              |                      |                   | 841                |        |
|                                      | Proportional Latam American Retail                          | 1,031    | 1,197 | 650           | 613                                |                      |                   | 329                |        |
| Latam Electronics                    |                                                             |          |       |               |                                    |                      |                   |                    |        |
|                                      | ViaVarejo                                                   | 1,077    | 1,381 | 854           | 323                                |                      |                   | 323                | Sep-15 |
|                                      | Economic Ownership                                          | 16.5%    | 17.9% | 17.9%         | 17.9%                              |                      |                   | 14.2%              |        |
|                                      | Proportional Cash                                           | 178      | 247   | 153           | 58                                 | (12)                 |                   | 46                 |        |
| Asia                                 |                                                             |          |       |               |                                    |                      |                   |                    |        |
| A                                    | BigC Thailand - Casino                                      | 159      | 286   | 162           | 67                                 |                      |                   | 67                 | Sep-15 |
|                                      | Economic Ownership                                          | 58.6%    | 58.6% | 58.6%         | 58.6%                              |                      |                   | 58.6%              |        |
|                                      | Proportional Cash                                           | 93       | 168   | 95            | 39                                 |                      |                   | 39                 |        |
| B                                    | BigC Vietnam                                                | -        | -     | -             | -                                  |                      |                   | -                  | N/A    |
|                                      | Economic Ownership                                          | 100%     | 100%  | 100%          | 100%                               |                      |                   | 100.0%             |        |
|                                      | Proportional Cash                                           | -        | -     | -             | -                                  |                      |                   | -                  |        |
| C                                    | Asia - Casino                                               | 159      | 286   | 162           | 67                                 |                      |                   | 67                 |        |
|                                      | Proportional Asia Cash                                      | 93       | 168   | 95            | 39                                 |                      |                   | 39                 |        |
| Ecommerce                            |                                                             |          |       |               |                                    |                      |                   |                    |        |
|                                      | Cnova                                                       | 264      | 573   | 412           | 292                                |                      |                   | 292                | Sep-15 |
|                                      | Economic Ownership                                          | 100.0%   | 58.1% | 58.1%         | 58.1%                              |                      |                   | 55.1%              |        |
|                                      | Proportional Cash                                           | 264      | 333   | 239           | 239                                |                      |                   | 161                |        |
| Parent                               |                                                             | 528      | 6     | 6             | 6                                  | -                    |                   | 6                  | Jun-15 |
| Total                                |                                                             |          |       |               |                                    |                      |                   |                    |        |
|                                      | Casino-Reported Cash                                        | 5,300    | 7,359 | 4,176         | 3,238                              | 1,388                |                   | 4,625              |        |
|                                      | Economic Ownership - Blended Average                        | 58.6%    | 61.3% | 60.5%         | 72.3%                              |                      |                   | 79.5%              |        |
|                                      | Proportional Cash                                           | 3,108    | 4,508 | 2,529         | 2,340                              | 1,337                |                   | 3,677              |        |
|                                      |                                                             |          |       |               |                                    |                      |                   |                    |        |
|                                      | Hedge Assets                                                | 291      | 567   | 451           | 451                                |                      |                   | 451                | Jun-15 |
|                                      | Cash Required in Business                                   | -750     | -750  | -750          | -750                               |                      |                   | -750               |        |
| Casino-Reported Cash                 |                                                             | 4,841    | 7,176 | 3,877         | 2,939                              | 1,388                |                   | 4,326              |        |
| Economic Ownership - Blended Average |                                                             | 55%      | 60%   | 58%           | 69%                                |                      |                   | 78%                |        |
| Proportional Cash                    |                                                             | 2,649    | 4,325 | 2,230         | 2,041                              | 1,337                |                   | 3,378              |        |

## Appendix 4: Proportional Debt Calculation

in Euros

|                                                 |                                                             |  | Reported |        | Muddy Waters Estimated Most Recent |                     |                      |                   | Period |                    |
|-------------------------------------------------|-------------------------------------------------------------|--|----------|--------|------------------------------------|---------------------|----------------------|-------------------|--------|--------------------|
|                                                 |                                                             |  | 2013     | 2014   | At<br>6/28/15                      | Estimated<br>Recent | Exito<br>Transaction | MW<br>Adjustments |        | Proforma<br>Recent |
| France                                          |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
|                                                 | France Retail (Monoprix, Cdiscount, Franprix, Leader Price) |  | 411      | 800    | 916                                |                     |                      | 0                 | 916    | Jun-15             |
|                                                 | Economic Ownership                                          |  | 100%     | 100%   | 100%                               |                     |                      |                   | 100%   |                    |
|                                                 | Proportional Debt                                           |  | 411      | 800    | 916                                |                     |                      |                   | 916    |                    |
| Latam America Retail                            |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
| A                                               | GPA                                                         |  | 1,746    | 1,933  | 1,534                              | 888                 |                      | 0                 | 888    | Sep-15             |
|                                                 | Economic Ownership                                          |  | 38.1%    | 41.3%  | 41.3%                              | 41.3%               |                      |                   | 32.7%  |                    |
|                                                 | Proportional Debt                                           |  | 665      | 799    | 634                                | 367                 | (76)                 |                   | 290    |                    |
| B                                               | Exito                                                       |  | 141      | 121    | 94                                 | 48                  | 1,388                | -                 | 1,436  | Sep-15             |
|                                                 | Economic Ownership                                          |  | 54.8%    | 54.8%  | 54.8%                              | 54.8%               |                      |                   | 54.8%  |                    |
|                                                 | Proportional Debt                                           |  | 77       | 66     | 52                                 | 26                  | 760                  |                   | 787    |                    |
| C                                               | Libertad/Other, net                                         |  | -        | 3      | -                                  | -                   |                      |                   | -      |                    |
|                                                 | Economic Ownership                                          |  | 100%     | 100%   | 100%                               | 100%                |                      |                   | 100%   |                    |
|                                                 | Proportional Debt                                           |  | -        | 3      | -                                  | -                   |                      |                   | -      |                    |
| D                                               | Latin American Retail-Casino                                |  | 1,887    | 2,057  | 1,628                              | 936                 | 1,388                | -                 | 2,323  |                    |
|                                                 | Proportional Latam American Retail                          |  | 742      | 868    | 685                                | 393                 | 684                  |                   | 1,077  |                    |
| Latam Electronics                               |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
|                                                 | ViaVarejo                                                   |  | 314      | 258    | 294                                | 174                 |                      |                   | 174    | Sep-15             |
|                                                 | Economic Ownership                                          |  | 16.5%    | 17.9%  | 17.9%                              | 17.9%               |                      |                   | 14.2%  |                    |
|                                                 | Proportional Debt                                           |  | 52       | 46     | 53                                 | 31                  | (6)                  |                   | 25     |                    |
| Asia                                            |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
| A                                               | BigC Thailand - Casino                                      |  | 588      | 624    | 586                                | 545                 |                      |                   | 545    | Sep-15             |
|                                                 | Economic Ownership                                          |  | 58.6%    | 58.6%  | 58.6%                              | 58.6%               |                      |                   | 58.6%  |                    |
|                                                 | Proportional Debt                                           |  | 345      | 365    | 343                                | 319                 | -                    |                   | 319    |                    |
| B                                               | BigC Vietnam                                                |  | -        | -      | -                                  | -                   |                      |                   | -      | N/A                |
|                                                 | Economic Ownership                                          |  | 100%     | 100%   | 100%                               | 100%                |                      |                   | 100.0% |                    |
|                                                 | Proportional Debt                                           |  | -        | -      | -                                  | -                   |                      |                   | -      |                    |
| C                                               | Asia - Casino                                               |  | 588      | 624    | 586                                | 545                 |                      |                   | 545    |                    |
|                                                 | Proportional Asia Debt                                      |  | 345      | 365    | 343                                | 319                 |                      |                   | 319    |                    |
| Ecommerce                                       |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
|                                                 | Cnova                                                       |  | 163      | 105    | 376                                | 380                 |                      |                   | 380    | Sep-15             |
|                                                 | Economic Ownership                                          |  | 100.0%   | 58.1%  | 58.1%                              | 58.1%               |                      |                   | 55.1%  |                    |
|                                                 | Proportional Debt                                           |  | 163      | 61     | 218                                | 221                 | (11)                 |                   | 210    |                    |
| Parent                                          |                                                             |  | 7,729    | 9,906  | 9,402                              | 9,402               |                      |                   | 9,402  | Jun-15             |
| Total                                           |                                                             |  |          |        |                                    |                     |                      |                   |        |                    |
|                                                 | Casino-Reported Debt                                        |  | 11,093   | 13,749 | 13,202                             | 12,352              | 1,388                | -                 | 13,740 |                    |
|                                                 | Economic Ownership - Blended Average                        |  | 85.1%    | 87.6%  | 88.0%                              | 91.3%               |                      |                   | 87.0%  |                    |
|                                                 | Proportional Debt                                           |  | 9,442    | 12,046 | 11,618                             | 11,282              | 666                  | -                 | 11,948 |                    |
|                                                 | France Monoprix Hybrid                                      |  | 500      | 420    | 420                                | 420                 |                      | 0                 | 420    |                    |
|                                                 | Parent Hybrid Securities                                    |  | 1350     | 1350   | 1350                               | 1350                |                      |                   | 1350   | Jun-15             |
|                                                 | TRS Fair Value - Parent                                     |  | 184      | 198    | 371                                | 484                 |                      | 0                 | 484    |                    |
|                                                 | Put & finance leases                                        |  | -        | -      | -                                  | -                   |                      |                   | -      |                    |
| Total Casino Debt & Other Financial Obligations |                                                             |  | 13,127   | 15,717 | 15,343                             | 14,606              |                      |                   | 15,994 |                    |
| Economic Ownership - Blended Average            |                                                             |  | 87%      | 89%    | 90%                                | 93%                 |                      |                   | 89%    |                    |
| Proportional Debt & Other Financial Obligations |                                                             |  | 11,476   | 14,014 | 13,759                             | 13,536              |                      |                   | 14,202 |                    |